

COINPICKS · RESEARCH & EDUCATION

The Fed & Macro Regime Pillar Report

Liquidity as the Master Driver — Researched, Scored, and Re-Rated

*Originally written June 19, 2026; scores committed by me on June 19, 2026. Fully re-researched July 8 and July 10, 2026; **re-checked July 11, 2026** — no fresh primary data landed (H.4.1 and jobless claims both run on a weekly cadence and don't refresh again until July 16), so the July 10 draft scores are **held flat** and remain **awaiting my stamp**.*

COINPICKS PILLAR REPORT · WEIGHT: 25% OF MY THESIS

Written June 19, 2026 · Updated & Re-verified July 11, 2026 (held flat) · Not Financial Advice

The Scores — Committed vs. Drafts

June column committed by me on June 19, 2026. The July 8 and July 10 columns are re-rated DRAFTS from successive re-researches. July 11: re-checked, held flat — no new primary data (next H.4.1 release July 16). Neither draft is stamped yet.

WINDOW	MY JUNE P	JUL 8 DRAFT	JUL 10 / JUL 11	QUALITY	IMPACT	SIGNAL	MY CALL
1 month	38	35	34	0.85	8	-2.2	Bear — hawkish minutes, CPI Jul 14
3 months	40	36	36	0.85	8	-1.9	Bear — Sept hike ~62% priced
6 months	46	42	44	0.80	8	-0.8	Mild Bear
1 year	54	52	53	0.75	8	+0.4	Neutral — short hike cycle, then ease
3 years	61	61	61	0.65	8	+1.1	Mild Bull — structural accumulate

Draft P (held, Jul 10 → Jul 11): 34 / 36 / 44 / 53 / 61 · **Weight:** 20% (equal) · **Impact:** 8 (uniform) · **Formula:** Signal = ((P - 50) ÷ 50) × Quality × Impact. Lineage: June committed 38 / 40 / 46 / 54 / 61 (June 19, 2026) → July 8 draft 35 / 36 / 42 / 52 / 61 → July 10 draft 34 / 36 / 44 / 53 / 61 → July 11: held, no re-rate — awaiting my stamp.

THE THREE INPUTS, IN PLAIN ENGLISH

P — the odds the macro regime is *good for crypto* by then — not "the Fed cuts by then." Near-term it's low: the June minutes dropped the easing bias, July 29 is a ~63–77% hold (relay-dependent), a September hike is ~62% priced (a like-for-like flat read vs July 10's ~66% combined), and June CPI lands July 14. Long-term it's above water: the labor market is cracking, and the plumbing flipped on July 9's H.4.1 release — the Treasury injected \$132B of reserves in a week. Cracks and drains eventually force easing.

Quality — how trustworthy the evidence is. Every source is on the last page — click and judge for yourself. Today's check confirmed no new H.4.1 or claims release has landed since July 10 (both run weekly, next due July 16), so nothing here was re-verified beyond checking that the underlying data is still current.

Impact — 8 out of 10, the uniform value every pillar now shares in the equal-weight model. Liquidity is the tide; it moves the whole market at once.

The Claim

The thesis, and where I differ from the consensus — updated July 10, 2026, re-checked July 11 (unchanged)

The crowd: "Inflation and the Fed are back in play" (Yardeni, July 8) — and the June minutes (released July 8) confirmed it: the Committee **dropped its easing-bias language** and "a few" participants wanted to hike *at the June meeting itself*. Futures now price a September hike at **50.8% for +25bp (~66% including +50bp)**, a ~63–77% hold for July 29 across relays (snapshot dates uncertain; the checkable FedWatch relay shows 62.6% hold), and ~66% odds of at least one hike by year-end — off the >75% July 6 extreme, but cuts are still off the board. The loud story: hawkish Warsh + a US–Iran shooting war = crypto stays dead indefinitely.

Me: near-term the crowd is right — my draft P is 34–36 out to 3 months. Liquidity's tide is still out. My edge is the *sequencing*: the July 2 jobs report shows the labor market visibly cracking (+57K with -74K of revisions and participation at a 2021 low), while the July 9 claims print (215K — no layoff wave) says the crack is slow-motion, not sudden. Warsh has publicly staked his chairmanship on price stability, so the Fed will **hike into that weakness**

before it eases — the worst near-term order of events for crypto, but a policy-error hike raises the amplitude of the easing cycle that follows.

My edge: the crowd is pricing the hike; almost nobody is pricing what comes after it — and this week the plumbing flipped from drain to inject. The TGA has been spent down ~\$170B from ~\$880B a week earlier (H.4.1 Wednesday level; the July 8 check's \$919B was a dashboard read — H.4.1 is primary) down to \$749.2B. **\$749B**, bank reserves jumped **+\$132B in one week to \$3.099T**, the RRP is empty, QT is dead — and Warsh just chartered a balance-sheet task force (single source) that opens a path to ending runoff earlier. That's why the 6-month and 1-year drafts tick *up* even as the 1-month gets marked down, and why the 3-year P holds at 61.

The Facts

As of July 10, 2026 — hard numbers only, sources on the last page. Re-checked July 11: no new H.4.1 or claims release (both weekly, next due July 16) — all facts below still stand.

- ★ **The June minutes landed hawkish — but no new shoe dropped.** Released July 8, 2:00pm ET: unanimous 12–0 hold at 3.50–3.75%; the Committee **dropped its prior easing-bias language**; "a few" participants saw a case for hiking at the June meeting itself; risks to inflation judged tilted to the upside; Fed staff **raised 2026 and 2027 inflation forecasts** vs. April, citing the Middle East war and AI-buildout demand. The dot split stands: 9 members ≥1 hike by end-2026, 8 no change, 1 cut. No QT acceleration, no new balance-sheet signal.
- ★ **The US–Iran war re-escalated, then cooled — and oil ended lower.** The ceasefire collapsed ~July 7–8 (Trump declared it "over"); the US struck ~90 targets in Iran overnight into July 9 (second consecutive day of strikes), retaliating for the Hormuz tanker attacks; Iran fired missiles and drones at US assets in Bahrain, Kuwait, Qatar, and Jordan. Then Qatar/Pakistan mediation headlines flipped markets: Brent ended July 9 around **\$76.30 (–2.2%)** — below the ~\$78 it traded July 8. Fragile and headline-dependent, but the second oil leg has not stuck so far.
- ★ **A genuine liquidity surprise — the plumbing loosened.** H.4.1 (released July 9, week ended July 8): total assets \$6,735.6B (+\$11.0B w/w — QT still done); **TGA \$749.2B, –\$131.0B w/w (Wednesday levels; –\$106B on weekly averages)** and down ~\$170B over recent weeks from the ~\$919B logged at the July 8 check; **bank reserves \$3,098.9B, +\$132.0B w/w from \$2.967T** (from \$2.951T); ON RRP \$2.75B. Post-quarter-end Treasury spend-down is injecting reserves even while rate policy stays hawkish.
- ★ **Jobless claims say no layoff wave.** 215K for the week ended July 4 (released July 9) vs 218K consensus; prior revised to 217K; 4-week average 218,750; continuing claims 1.814M. This undercuts the "weak June payrolls forces the Fed dovish *now*" case and supported the dollar.
- ★ **Rate odds re-firmed hawkish post-minutes, off the July 6 extreme.** FedWatch as of July 9: September **+25bp 50.8%**, hold 34.0% — **~66% combined odds of at least +25bp** (vs ~58% July 6). July 29: hold ~70–77% across trackers. Year-end ≥1 hike ~66% futures-implied, down from >75% on July 6. *Label:* all FedWatch figures here are relays via crypto/FX outlets, not CME screenshots (the September 50.8% is a single relay, directionally corroborated; the Bitget July-hold flashes are undated); one aggregator showing cut-skewed odds was inconsistent with every other source and with the 2Y at 4.21% — discarded.
- **The labor market cracked — in slow motion.** June payrolls **+57K** vs ~115K consensus (released July 2); April revised –31K and May –43K — **–74K combined**. Leisure/hospitality –61K. Unemployment "fell" to **4.2%** only because participation dropped 0.3pp to **61.5%** — the lowest since March 2021. Wages +0.3% m/m. The 215K claims print says cracking, not collapsing.
- **Core inflation is going the wrong way.** May core PCE **3.4% y/y** (+0.3% m/m, released June 25–26) — the **highest since October 2023**, up from 3.3% at the June check. Headline PCE 4.1%. June CPI lands **July 14**; the Cleveland Fed nowcast says **~3.96%** headline (consensus ~3.9%, vs May's 4.2%) — previews flag energy correcting lower but core sticky.
- **Warsh is uniformly hawkish.** July 1 at Sintra (first international appearance): inflation "too elevated," no hint on July, and he joined Lagarde/Bailey/Macklem against forward guidance. And the line he's staked the chairmanship

on — "This Committee will deliver price stability" — comes from the June 17 FOMC statement and press conference (recirculated in July 6 coverage). Rate policy is his primary tool; balance-sheet reduction ambitions are intact but gradual — no asset sales imminent.

- ★ **Warsh chartered five new Fed task forces (July 9)** — communications, **balance sheet**, data sources, productivity/jobs, and inflation frameworks — advancing his "regime change" agenda. *Single source (Bloomberg, July 9)*. A balance-sheet review is a medium-term wildcard for where QT's endpoint lands.
- ★ **Rates firm, dollar easing slightly.** 10Y ~**4.58%** July 9 (4.56% July 8, vs 4.53% at the last check); 2Y steady ~4.21%. DXY eased to ~**100.9** July 9–10 (from 101.0–101.1; the late-June 13-month peak of 101.8 is intact) — *exact DXY level is single-source (TradingEconomics)*. The July 7 \$58B 3Y auction was strong — reported as stopping through with the highest indirect take since April (per TFTC; auction internals not independently confirmed) — dollar-asset demand is intact.
- **Policy rate and balance sheet: still 3.50–3.75%, still ~\$6.74T flat.** QT remains done (H.4.1, July 9: \$6,735.6B). **Correction from the forensic audit (stands):** the eSLR recalibration was *finalized Nov 25, 2025* (Federal Register Dec 1, 2025) and has been **in effect since April 1, 2026** — it is a liquidity positive already delivered and in the price, not a pending catalyst.
- ★ **The ETF inflow streak broke.** After three green days totaling ~\$510M (July 2–7), spot BTC ETFs went **–\$84.9M July 8** and **–\$95.3M July 9** (Farside data via multiple outlets). ETH ETFs: +\$70.5M July 8, –\$52.2M July 9. June remains the worst month on record at –\$4.06B; AUM ~\$77B as of July 7 (single source; trackers differ on exact AUM). *Label:* a KuCoin flash claiming "+\$21.4M on July 8" appears to be July 7 data reported a day late — Farside-based reporting is authoritative here.
- ★ **Prices whipsawed with equities, not gold:** the overnight July 9–10 whipsaw printed ~**\$61.7–61.9K** (tracker-dependent) on the strikes, then recovered fully on de-escalation to ~**\$64.3–64.4K** the morning of July 10; ETH ~\$1,795–1,796. Both up ~2.8% Fri–Fri per Yahoo (7-day trackers show ~+4%). BTC traded as a risk asset straight through the war headlines — gold slid while crypto bounced.

The Prize

Illustrative only — not price targets, not advice

The canonical anchor: **2020-21 ZIRP + QE** ran BTC ~\$3,800 → \$69,044 (~15–18×) — a unique COVID/zero-rate/open-ended-QE setup, not a repeatable base case. The **2024-25 cuts** ran ~\$60K → a ~\$126K ATH (Oct 6, 2025) — but that top came on a non-Fed tariff shock and has since roughly halved to the low-\$60Ks (~\$64.1K on July 11). From here, a retest of the \$126K high ≈ **+95%**.

Discount it hard, twice. First: easing is not an automatic catalyst — the last cycle topped on a non-Fed shock, and a Dec 10, 2025 cut drew a sell-the-fact dip. Second: the pivot that unlocks any of this remains **pushed out** — the Fed is priced to hike before it eases. The Prize doesn't feed the math — it tells you what the 3-year lean is worth acting on when the tide finally turns.

The Other Side

The strongest honest case my bearish lean is wrong

- **The labor market may force the Fed's hand faster than anyone prices.** +57K with –74K of revisions and participation at a 2021 low is not "solid but cooling" anymore — one more print like that and the hike is off the table. (The honest counter to my counter: claims at 215K show no layoff wave yet, so the crack is slow.)
- **The inflation data could break my way this month.** June CPI nowcasts ~3.96% — cooling — previews flag energy correcting lower, and Brent just closed *below* its pre-escalation level despite two days of US strikes. A soft July 14 CPI plus a soft July 25 core PCE flips the board before the July 28–29 FOMC.

- **The liquidity floor is rising while everyone watches the rate.** Reserves +\$132B in one week to \$3.099T on the TGA spend-down; RRP exhausted; net liquidity *improved* — the opposite of the tightening story. If the drawdown keeps running, crypto gets a tailwind with zero Fed action.
- **Real bids exist in the low-\$60Ks.** The July 2–7 green streak (~\$510M over three days, including the biggest daily inflow in over a month) showed capitulation-scale June outflows may have marked exhaustion — though the streak broke July 8–9 (–\$180M combined), so this leg of the bull case just got weaker.
- **Crypto keeps decoupling from the Fed — symmetrically.** The Oct 2025 top and the May 2026 selloff weren't Fed-driven; and this week BTC fell on the strikes and recovered fully on mediation headlines within ~24 hours — trading like a risk asset, not a macro casualty.
- **Latent liquidity positives are queued — and one just fired:** the \$919B TGA "eventually gets spent down" card is being played right now (\$749B and falling), Waller is publicly fighting scarce-reserve regimes, and Warsh's new balance-sheet task force (single source) opens a path to ending QT earlier. (The eSLR recalibration — once on this list — was finalized Nov 2025 and took effect April 1, 2026; that card has been played.) The plumbing can loosen without a single rate cut.

The Triggers

Dated events — some prove the claim right, some prove it wrong

DATE	EVENT	MEANS
July 14	June CPI (nowcast ~3.96%, consensus ~3.9%)	The pillar's next binary — soft print = look-through case alive, re-rate 1-month up · hot print = September hike locks in
July 17	Iran oil-waiver wind-down deadline	Supply actually tightens — the energy spike gets a second leg into July data (so far reversed: Brent \$76.30, below pre-escalation)
Every Thursday	H.4.1 + jobless claims	Does the TGA spend-down keep injecting reserves · do 215K claims start climbing toward a layoff wave
July 25	June PCE (before the FOMC)	Core 3.4% still rising vs rolling over — the Fed's actual gauge decides the tone
July 28–29	FOMC (~70–77% hold priced)	Surprise hike = re-rate 3/6-month down hard · any dovish tilt = re-rate up
September FOMC	Hike 50.8% at +25bp; ~66% incl. +50bp	A hike into a cracking labor market = policy error confirmed — 3-year conviction rises
Aug 7 (payroll Friday)	Second straight sub-100K print	The easing case comes forward — re-rate the 1-year up

The flip line: soft July 14 CPI + no September hike + ETF inflows resuming = the headwind is fading — re-rate the 1/3-month up toward neutral. If the TGA-drawdown reserve build keeps running on top of that, the liquidity floor rises with zero Fed action. The other way: a September hike delivered into this labor market confirms the policy-error path — near-term Bear stands, and the 3-year structural-accumulate gets *more* conviction, not less.

My Decision

🕒 **RE-CHECKED JULY 11, 2026 · HELD FLAT · AWAITING MY STAMP**

Draft P: 34 / 36 / 44 / 53 / 61 (unchanged since Jul 10) · My Weight: 20% (equal) · Impact: 8 (uniform)

These remain the July 10 re-rated draft scores — the 1-month marked down on the hawkish minutes, the broken ETF streak, and a ~4% CPI due July 14 into a ~62-66%-priced September hike; the 6-month and 1-year marked *up* on the reserve rebuild (+\$132B w/w to \$3.099T), the oil cool-off, and the short-hike-cycle read; the 3-year holds at 61. July 11 brought no new H.4.1 or claims release to act on (both weekly, next due July 16), so per the sufficiency rule this pillar is held flat rather than re-rated on stale or secondary evidence. The June committed scores (**38 / 40 / 46 / 54 / 61**, committed June 19, 2026) remain the last human-stamped values.

Override any P and re-stamp — the master blend recomputes.

What Changed Since Last Check

Re-checked July 11, 2026 — held flat (previous full re-research July 10, 2026)

- ★ **July 11: nothing to re-rate on.** H.4.1 (weekly, last released July 9 for the week ended July 8) and jobless claims (weekly, last released July 9) don't refresh again until **July 16**. September-hike odds read ~62% today vs the ~66% combined figure used July 10 — a like-for-like flat move, not a fresh signal. No Fed speakers or new data releases found for July 10-11. Per the sufficiency rule, a pillar isn't re-rated without primary evidence — this one holds.
- ★ **The minutes hawkish-surprise trigger FIRED (moderate) — from the July 10 check, still the most recent evidence:** Easing-bias language dropped, "a few" wanted a June hike, staff raised 2026–27 inflation forecasts — hawkish confirmation, but no QT acceleration and no unanimity, so not a regime worsening beyond what was priced.
- ★ **The oil-shock escalation trigger did NOT fire — it reversed.** Despite the ceasefire collapsing and two consecutive days of US strikes (~90 targets, Iranian missiles at US assets in four countries), Qatar/Pakistan mediation headlines pushed Brent to ~\$76.3–77.0 by the July 9 close (settle \$76.30 per CNBC) — *below* the July 8 ~\$78. Fragile and headline-dependent.
- ★ **The liquidity-deterioration trigger fired in the OPPOSITE direction.** H.4.1: TGA ~\$880B → \$749B w/w (H.4.1), bank reserves +\$132B w/w to \$3.099T, RRP exhausted at \$2.75B. Near-term net liquidity improved — the first genuinely bullish plumbing print of this cycle.
- **The Sept-hike->50% trigger FIRED:** 50.8% for +25bp, ~66% combined (July 9) — though year-end ≥1-hike odds eased to ~66% from the >75% July 6 extreme. July 29 hold intact at ~70–77%. Jobless claims 215K — no layoff wave.
- **The ETF-flow recovery broke:** −\$84.9M July 8 and −\$95.3M July 9 after the ~\$510M 3-day streak. BTC whipsawed \$61.7–61.9K (overnight July 9–10 low) → ~\$64.3K (July 10 AM), +~2.8% w/w; 10Y 4.53→~4.58%; DXY 101.1→~100.9. Warsh named five task forces including balance sheet (single source, Bloomberg).
- **Score re-rates (July 8 draft → July 10 draft):** 1-month 35→**34** — hawkish minutes + broken ETF streak + ~4% CPI due July 14 into a ~66%-priced September hike; the liquidity add and oil relief only partially offset · 3-month 36→**36** (hold) — the September hike sits inside this window but is now largely priced; the TGA-drawdown tailwind roughly cancels the hawkish-path confirmation · 6-month 42→**44** — peak hawkishness likely lands by year-end while reserves rebuild and the balance-sheet task force opens a path to ending QT earlier · 1-year 52→**53** — sub-surface labor weakness plus fading energy base effects argue the hike cycle is short and reverses within the year · 3-year **61** (hold) — structural story unchanged; nothing this week moves a 3-year view.

- **July 10 draft → July 11: 34 / 36 / 44 / 53 / 61 (all held).** Draft only — awaiting my stamp.

Sources

Retrieved & graded July 10, 2026; re-checked July 11 (no new official releases) — click and judge the quality yourself. Official data first, then reporting, then prices & flows, then rate odds (market-implied sentiment, not fact).

- **July 11 check:** Sept-hike odds ~62.2% (re-checked Jul 11; like-for-like flat vs Jul 10's ~66% combined) · confirmed no new Fed H.4.1 (next Jul 16) or jobless-claims (next Jul 16) release since Jul 9.
- **Official data:** Fed — June 16–17 FOMC minutes (released July 8) · Fed — H.4.1 balance sheet (rel. July 9: \$6,735.6B; TGA \$749.2B; reserves \$3,098.9B; RRP \$2.75B) · DOL — weekly jobless claims (rel. July 9: 215K) · Fed — June 17 FOMC statement · Fed — Warsh press-conference transcript (June 17) · BLS — Employment Situation, June 2026 (released July 2) · BEA — Personal Income & Outlays, May 2026 (core PCE 3.4%) · BLS — CPI release schedule (June CPI: July 14, 8:30am) · Cleveland Fed — inflation nowcast (June headline ~3.96%).
- **The reporting:** Bloomberg — minutes: "a few" saw case for June hike · CNBC — June minutes coverage · Yahoo/Reuters — minutes: easing bias dropped · Bloomberg — Warsh's five task forces (July 9; single source) · Bloomberg — claims 215K, layoffs low · CNBC — oil July 9 (Brent ~\$76.3–77.0 July 9; settle \$76.30 per CNBC, TradingEconomics \$76.97) · CNBC — oil July 8, Hormuz escalation · Al Jazeera — US strikes Iran (July 8) · BloombergNEF — \$91 Brent disruption scenario · CNBC — June jobs miss (+57K, –74K revisions) · Indeed Hiring Lab — participation 61.5% · CNBC — May PCE (core 3.4%, highest since Oct 2023) · CNBC — Warsh at Sintra (July 1) · CNN — Warsh's first global speech · Yahoo Finance — "This Committee will deliver price stability" · Bloomberg — Yardeni: "inflation, Fed back in play" (July 8) · TFTC — 3Y auction stops through (auction internals not independently confirmed) · WisdomTree — Warsh's balance-sheet reality check · Federal Register — eSLR final rule (Dec 1, 2025; effective Apr 1, 2026) · Continuum Economics — June CPI preview · Morningstar — CPI forecasts.
- **The prices & flows:** Yahoo Finance — BTC ~\$64.3K, ETH ~\$1,796 (July 10 AM) · Fortune — BTC price July 10 · CoinDesk — crypto/stocks tumble on ceasefire collapse (July 8) · CoinDesk — BTC/ETH steady, gold slides (July 9) · Farside — BTC ETF flow table (authoritative) · FinanceFeeds — –\$84.9M July 8 · Blockonomi — outflows deepen July 9 (–\$95.3M) · TechTimes — the ~\$510M 3-day streak recap · KuCoin — June ETF outflows –\$4.06B, worst month on record · 99Bitcoins — June outflow detail, AUM ~\$77B (single source; trackers differ) · CoinDesk — 10-day outflow streak ends (+\$223.5M, July 2) · Crypto Briefing — IBIT +\$209.4M (July 6) · Trading Economics — 10Y ~4.58% (July 9) · Trading Economics — DXY ~100.9 (July 9–10; single source for exact level) · PrimeRates — yield curve (July 8 data).
- **The odds (market-implied, not fact):** CME FedWatch — the tool itself · FXEmpire — Sept +25bp 50.8% (July 9; single relay, directionally corroborated) · KuCoin — FedWatch relay (July 8: July hold ~70.1%) · Bitget — July hold 73.3%/77% flashes (undated) · IG — hawkish minutes read-through (July 9). All FedWatch figures are relays via crypto/FX outlets, not CME screenshots; one cut-skewed aggregator (rateprobability.com) was inconsistent with every other source and discarded.